Alahsa intracity Bus Project

INVESTMENT OPPORTUNITY

Transport and Logistics

استثمر في السعودية
INVEST SAUDI

Public / متاح

High Potential | Moderate Potential | Low Potential

Transport & Logistic Sector

Alahsa intracity Bus Project

OPPORTUNITY'S DESCRIPTION: Opportunity for best-in-class intracity bus service providers with operational excellence, improved safety standards resulting in top-class quality services for all residents, tourists and beneficiaries in Alahsa.

INVESTMENT OVERVIEW



INVESTMENT HIGHLIGHTS AND VALUE PROPOSITION

- The vision and goals for the KSA's intracity bus project is to provide a comprehensive national system for intracity buses which is safe, secure, efficient, inclusive, focused on providing customer choice and integrated with other modes of transport. To achieve this target, the Municipality of Al-Ahsa in collaboration with TGA intends to open the intracity bus sector for reputable bus operators interested in the KSA market to competitively bid for area-based concessions.
- The opportunity allows the international and local parties to participate in Al-Ahsa.
- 7 Lines +132 bus stops +222 km +41Bus +123 Drivers +18 hours

OPPORTUNITY STRUCTURE

- Expected duration of contract to be 5 years.
- The operator must own the fleet or has a closed-end leasing system
- Buses must not exceed 10 years old to operate.

KEY DEMAND DRIVERS

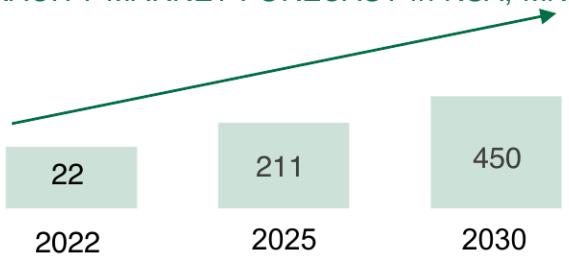
- Driving demand by provision of high quality, safe, reliable, efficient, punctual and affordable services
- Vision 2030 and National Tourism strategy – Various initiatives currently underway on improving connectivity, provision of transport services and increasing number of visitors to KSA
- Introduction of competition, mitigation and recover from Covid impact, improvement in transport infrastructure and adoption of international best practices

MARKET OVERVIEW

MARKET READINESS AND COMPETITOR ANALYSIS

- The public transportation in Al-Ahsa is a concession-based project where the competition is very limited compared to other modes of transportation.

INTRACITY MARKET FORECAST in KSA, MN PAX



- expecting market to grow to 450mn Trip by 2030

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SUPPLY

SCALABILITY AND LOCALIZATION

Grade: Low | **Medium** | High

- The opportunity intends to capture the best international practices to ensure high quality and safety measures.
- The project has a potential of expanding to other areas of the cities when the demand increases.

IMPORT DEPENDENCY

- The project involves the procurement of bus fleet which may need to be sourced from bus manufacturers located outside KSA

ENABLING FACTORS

ENABLERS

- 49% foreign investment allowed with a local operator.
- The municipality will provide the infrastructure (Bus stop, stations, pavements).
- Exclusivity to intracity routes

Ecosystem analysis

The activities that would be required to be carried out to deliver the services

Securing buses & Drivers	Operation & management of services	Maintenance of buses	Fare collection	Passenger communication and customer services	Monitoring and reporting
▪ Purchasing/ closed-end leasing system of buses ▪ Ensuring the compliance with TGA's bus specification ▪ Hiring and training drivers	▪ Managing trip duration and bus stops arrival times. ▪ Providing the best quality possible	▪ Engine periodic maintenance ▪ Interior maintenance ▪ Spare parts	▪ Fare collection systems ▪ Accepting electronic and physical payments	▪ Communication platforms ▪ Call center ▪ Trip times	▪ Monitoring the movement of buses ▪ Reporting incidents during trips

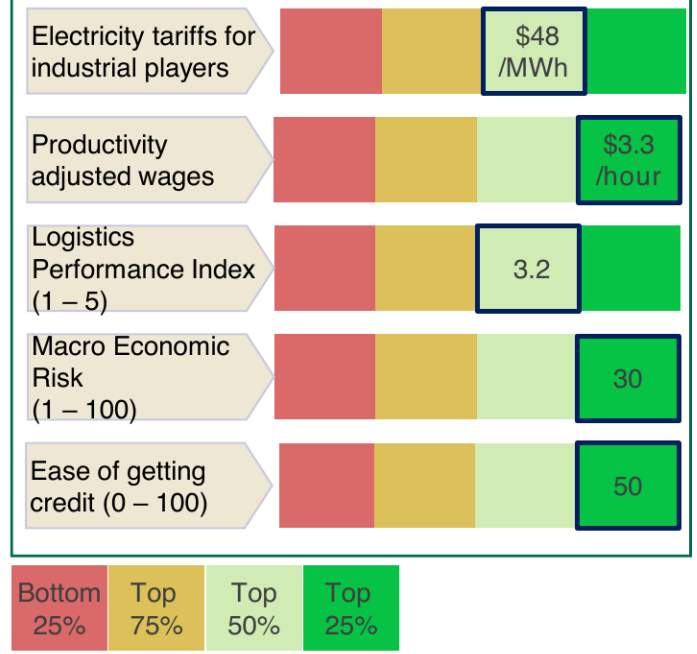
*Non-exhaustive

KEY STAKEHOLDERS

الهيئة العامة للنقل
TRANSPORT GENERAL AUTHORITY

أمانة الأحساء
ALAHSA MUNICIPALITY

Cost of doing business in KSA



Definitions

#	SCORECARD SECTION	DEFINITIONS
1	Market size	Size of market in value/volume in KSA and/or Region (MENA/GCC) covering future projections based on available estimates from published /government sources
2	Business drivers	A select number of factors that will influence future demand for the related product/service
3	Investment highlights	An overview of key financial metrics summarizing the investment opportunity along with the expected return based on the suggested investment size
4	Value proposition	Summary of key differentiators that position KSA as a strategic choice over other regional/global peers
5	Market readiness	An overview of KSA market structure, market maturity and level of participation by local and global players
6	Global trends	Latest business developments within the sector/product category
7	Scalability and localization	Ease of scaling the business across the value chain or into new adjacent products or geographies that would maximize the opportunity's investment returns and the ability and potential to locally manufacture the product and its components
8	Import dependency	An overview of the countries from which Saudi Arabia is importing the product and their value/volume and share in total imports
9	Value chain analysis	The process or activities that would potentially need to be carried out to deliver the underlying product or service
10	Key stakeholders	Government institutions, organizations, and/or authorities that participate or influence the market for the underlying product/service
11	Enablers	Factors that enable investment in the underlying opportunity
12	Cost of doing business in KSA	Key factors that position KSA as a competitive destination for investment in the region. Productivity adjusted wages do not include cost of $1.23/hour towards annual recurring charges including work permit, resident identity (iqama) and health insurance

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